INTECSA Industrial

Madrid,

Gentlemen,

We are pleased to place and ORDER with you for the materials, equipment or services detailed further on, subject to instructions, specificiations and documents attached or listed below.

All correspondence, documentation and invoices in connection with this order will bear following number of ORDER as our reference..

PURCHASE ORDER
Order nº

Yours faithfully,
P.P.

L.M. Caparrós
PROCUREMENT MANAGER

TOTAL AMOUNT	SHEET
€.	1 de 12

DELIVERY DATE	DELIVERY POSITION
Date	Place

PROJECT	CLIENT
Project	Client

THIS PURCHASE ORDER IS ISSUED BY INTECSA INDUSTRIAL, S.A., AS PURCHASING AGENT OF ABOVE MENTIONED CLIENT AND ON HIS BEHALF AND AT HIS EXPENSE

1. PURPOSE AND SCOPE OF THE ORDER

The purpose of this order, which confirms our fax of intent dated ....., is to award to ..... hereinafter the SUPPLIER, the supply of materials and/or equipment and/or services listed in the Bill of materials, mentioned in the Clause "Contractual Documents", with destination to ..... located at .....

The required Supplies and services will be carried out in full agreement with the terms of this Order and attached documents.

SEAL AND SIGNATURE OF SUPPLIER

1ª Inscripción en el registro Mercantil de Madrid el 14-III1989, T. 9248, Folio 182, Hoja 87160 – N.I.F. A-79036851 – VAT NUMBER: ES-A-79036851

APROVISIONAMIENTOS: Rosario Pino, 14-16 28020 MADRID . Telf.: (91)749 70 00 . FAX.: (91)749 70 01

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2. CONTRACTUAL DOCUMENTS

The following are contractual documents:

This order and its annexes.

Bill of Material RM nº ..... edition ....., with all documents indicated and annexed.

Unit price schedule.

General Conditions applicable to purchase orders (attached)

Sample of Bank guarantee of advanced payments

Sample of Bank guarantee in Support of quality guarantee.

In the event of conflict among above documents the order of description shall take preference.

3. TIME OF DELIVERY

/INDICATE A) or A + B)/

A)

The delivery time will be ..... for materials and/or equipment and/or services delivered on truck / erected and tested at Point of Delivery.

This time will be the deadline for the Fulfilment of the order. All intermediate times established for delivery of documents required in all contractual documents will also be fulfilled.

B)

The SUPPLIER will submit a Work Schedule, both for shop and site works, including partial delivery times of each one of the units or milestones which constitute the Scope of the Order.

After approval by INTECSA INDUSTRIAL, S.A., it will form part of the Order Contractual documents.

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4. PENALTIES FOR DELAYS

/INDICATE A) or B)/

A)

INTECSA INDUSTRIAL, S.A. and/or its CLIENT reserve the right of applying a penalty of ..... % of the Order Amount, per week of delay or fraction thereof, up to a maximum of ..... % of the Order Amount.

B)

In case of SUPPLIER's failure to meet the delivery dates established for Provision al Acceptance of each unit or milestone as set forth in clause nº 3 of this order, INTECSA INDUSTRIAL, S.A. and/or its CLIENT reserve the right of applying a penalty of ..... % of the Order Amount per week of delay or fraction thereof, up to a maximum of ..... % of the Order Amount.

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5. QUANTITIES, PRICES AND AMOUNTS

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6. SHIPPING INSTRUCTIONS, PLACE OF DELIVERY AND WORKING HOURS

The material shipments will be marked visibly with the following reference:

PROJECT .....
ORDER Nº .....

and consigned to the following address:

.....
.....
.....
.....

The deliveries will be made during working hours, from 8 to 13, and 14 to 16, Monday through Friday.

7. TERMS AND MANNER OF PAYMENT

/INDICATE A + C) or B + C)

A)

.... % .....
.... % .....
.... % .....
.... % .....

B)

... % of the Order Amount .....

... % of the Order Amount, by means of monthly certifications of the work performed.

... % of the Order Amount, at Provisional Acceptance of each one of the units or milestones which constitute the work, in accordance with the assessment to be made of such units.

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C)

The SUPPLIER will submit a Bank Guarantee (as per attached sample) for the concept of GUARANTEE for ADVANCED PAYMENTS of the Order, equivalent to 100 % of the total amount of each one of the invoices, with each one of the invoices issued prior to availability of equipment, materials and services on site.

The SUPPLIER will deliver a Bank Guarantee (as per attached sample), for the concept of GUARANTEE of QUALITY of the Order, equivalent to 10 % of the total amount of same and valid during the period of Guarantee indicated in Clause 12, with the invoice corresponding to the last payment.

All payments will be made at ..... days from date of invoice properly written and by means of .....

All expenses arising from the established manner of payment will be for the SUPPLIER's account.

The code numbers, if any, of equipment or parts, assigned by INTECSA INDUSTRIAL, S.A. will be indicated in all invoices.

8. INVOICING INSTRUCTIONS

The SUPPLIER may issue the corresponding invoices as soon as all requirements necessary for each one of the established payments have been fulfilled.

The invoices, in original plus ..... copies, will be issued to the name of:

.....
.....
.....
.....

N.I.F. .....

and will be forwarded for previous approval to:

INTECSA INDUSTRIAL, S.A.
Departamento de Compras
Vía de los Poblados 11, Edificio Trianon
28033 – Madrid

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The N.I.F. of ..... will be shown in all invoices, as well as the Order number.

Each assessed Certification will be forwarded to the INTECSA's Construction Manager in original and four copies within twenty days of the succeeding month.

9. PRICES

/INDICATE A + B) or B) or A + C)/

A)

The Order Amount, as well as the unit prices shown in the "Unit Price Schedule" include the following:

- All technical documents required in Technical Documents.
- All tests and/or trials required in Technical Documents or other Contractual Documents.
- Transportation and insurance of all equipment and/or materials to be supplied by the SUPPLIER until delivery at Point of Delivery.
- The rights of the Project Approval by the Spanish Official Engineers Association and the payment of licences and works permit.
- The technical means, supervision and labour required to carry out the works under this order, both in the SUPPLIER's shop and on site.
- The commissioning of the installation.
- All necessary insurance to cover the risks and responsibilities arising from this order.

The following concepts are expressly excluded from the Order Amount, as well as from prices shown on the "Schedule of unit Prices":

- Fax on the Added Value (IVA).
- The modifications that may occur subsequent to the issuance of this order and providing it is due to causes beyond INTECSA's or its CLIENT's control.

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- The unloading of said materials and/or equipment on site

- Spares for two years operation

- The electrical and water supply lines, for consumption during the erection phase on site, up to the point established in the Technical Documents.

- Water and electric power for the execution of the works on site.

B)

All cost and prices that constitute the order are considered fixed and not subject to revision during the time of validity of the order.

C)

Revision will only be admitted in the event that the par rate of exchange ……../ptas. on the contractual delivery date varies +/- ……% of the base rate of exchange, which is established at : 1 …… = …….Ptas.

The figure to be revised corresponds with ……% of the total amount of this order.

10. REQUIRED TECHNICAL DOCUMENTATION

We refer to documents D.R.F. (Documents Required and Dates) that forms part of the Bill of Materials RM .....-....-....., where all required documents, and date of submission are listed, as well as the number of copies and/or reproducibles to be submitted for comments and/or approval, which cost is included in the Order.

11. INSPECTION

The inspection will be performed by the Inspection Service of INTECSA INDUSTRIAL, S.A. or their authorized agents.

The Inspection Service will request that the quality of materials, fabrication, characteristics and performance of materials and/or equipment complies with the conditions specified in contractual documents, and will request the performance of test and trials indicated in the specifications contained in the RM ....-.....-..... The cost of these tests and trials is included in the Order.

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The SUPPLIER will give at least 10 days notice on the availability of materials and/or equipment to be inspected.

If as a consequence of above notice the Inspectors go to the SUPPLIER's shop or the Subsupplier's shop and the inspection cannot be performed for reasons beyond INTECSA's control, all expenses incurred by will be for the SUPPLIER's account.

In all cases the SUPPLIER shall afford all auxiliary means and necessary personnel to the Inspectors or successfully fulfil this clause of the Order.

12. GUARANTEES

The SUPPLIER guarantees all materials and/or equipment and/or services under this Order, against all defects of design, materials quality, fabrication, erection and operation, in accordance with the provisions in contractual documents at no cost to INTECSA INDUSTRIAL, S.A. and its CLIENT.

This guarantee is supported with a Bank Guarantee for 10 % of the total of the Order required in clause nº 7 as GUARANTEE of QUALITY.

13. FORWARDING OF DOCUMENTS

All documents arising from this Order, both commercial and technical shall be forwarded in the number of copies required to:

INTECSA INDUSTRIAL, S.A.
Departamento de Compras
Vía de los Poblados 11, Edificio Trianon
28033 - Madrid

14. MATERIALS AND EXECUTION

The SUPPLIER will supply the materials with the quality prescribed in the Technical Documentation. Any change of the materials specified will have to be previously approved in writing by INTECSA INDUSTRIAL, S.A..

The SUPPLIER will submit for INTECSA's approval the procedures, drawings and commissioning schedule of each one of the milestones of the installation within one month maximum time from the date of the ..... of intent.

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This approval by INTECSA INDUSTRIAL, S.A. will not relieve the SUPPLIER from his responsibilities of delivery of the works within the times and with the established guaranteed technical conditions.

15. VARIATIONS IN THE SCOPE OF ORDER

The SUPPLIER shall compulsorily execute in accordance with contractual conditions, the modifications of works already performed or that are foreseen to the performed as a consequence of reforms, changes of design, improvements of same, decisions of the Owner, etc., ordered by INTECSA INDUSTRIAL, S.A. during the development of the order. These works are considered as non estimated items, and therefore do not from a part of the Order Amount, the cost of these items will be determined by measurement of the work units carried out, to which the following will be applied:

/INDICATE A + C) or B + C)

A)

The prices shown in the "Schedule of Unit Prices" which form part of this order.

B)

The contradictory prices to be agreed in due time

C)

If the value of these modifications does not exceed +/- 5 % of the order amount, said modifications will be assumed by the parties within their costs of execution. Any amount that exceeds mentioned +/- 5 % will be subject to a timely regularisation in the resulting difference and it will be paid or credited, as required.

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16. PROVISIONAL AND FINAL ACCEPTANCE

Upon completion of the works by units or milestones and the applicable tests, the SUPPLIER will request from INTECSA INDUSTRIAL, S.A. to carry out the Provisional Acceptance.

For the Final Acceptance of the elements of the Order, the SUPPLIER will request from INTECSA INDUSTRIAL, S.A. his intent of performing such acceptance one month prior to expiration of the guarantee period.

17. FULFILMENT OF THE PURCHASE ORDER

/THIS CLAUSE WILL BE DELETED IF CLAUSE 16 IS USED/

The order will not be considered as fulfilled until the materials and/or equipment and/or services have been delivered as well as all drawings certificates, operation manuals, lists of recommended spare parts, with prices and as many documents and obligations have been requested in the Contractual Documents.

18. DELAYS ATTRIBUTABLE TO INTECSA INDUSTRIAL, S.A./CLIENT

The SUPPLIER will inform INTECSA in writing within a period of time not exceeding 10 days, of any irregularity that could originate a deviation from the established work schedule which is attributable to INTECSA/CLIENT, indicating the incidence that it might have on the various Clauses of this Order.

Any claim made by the SUPPLIER which has not been sent to INTECSA INDUSTRIAL, S.A. in writing within the established period of time will not be considered.

All contractual problems will be obligatorily discussed in the INTECSA's Madrid office.

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19. ACCEPTANCE AND VALIDITY OF THE ORDER

The copy annexed to this order, duly signed and dated will be return to INTECSA INDUSTRIAL, S.A. within 7 days time, as a sign of acceptance by you. The Order will not be valid without this requirement.

Similarly, any modification or amendment made by any procedure on this Order shall not be valid.

The modifications in quantities and prices deriving from new necessities of the project and/or errors inadvertedly made in the Order, must be necessarily made in a Supplement of order in order to be valid.